

CIMA STRATEGIC CASE STUDY

MOCK EXAM 1 (FEBRUARY 2025)

EXAMPLE ANSWER



Example Answer for Task 1

Sub task 1 (a):

Evaluation of the interest, power, and relationship management of warehouse staff

Interest

Warehouse staff have high interest in the automation proposal, as it directly impacts their livelihoods. With 70% of roles set to be eliminated, many employees face job loss, financial instability, and uncertainty about their future. This includes potential difficulties in meeting basic needs such as rent or mortgages, which creates significant anxiety. Those who retain their roles may feel dissatisfied due to the limited scope of their work, which would largely involve monitoring robots and packing goods for delivery.

Staff may also feel disillusioned with Rotomyne's approach if they perceive a lack of support during this transition. As Rotomyne is a prominent global player in the lithium market, employees may have expected opportunities for career growth, not redundancy. Without reassurance or clear plans for their welfare, employees could become disengaged or resistant, leading to broader morale issues across the company's operational teams.

Power

Individually, warehouse staff have low power, as their roles do not carry strategic importance and can be easily replaced through automation. Their lack of specialised knowledge or skills further diminishes their influence in shaping corporate decisions. The ability to replace their roles with commercially available robots limits their expert power, as the tasks involved are seen as repetitive and low-skill.

However, unionised workers could collectively exert significant power by negotiating redundancy terms or organising strikes to delay the implementation. Strikes would not only disrupt warehouse operations but could also attract media attention, damaging Rotomyne's reputation as an ethical employer. Public and media scrutiny on job losses in regions where Rotomyne warehouses are significant employers could amplify their power, pressuring Rotomyne to reconsider its approach.

Relationship management

Managing the relationship with warehouse staff requires clear communication and proactive support. Rotomyne should conduct town hall meetings to explain the rationale for automation and address staff concerns. This demonstrates transparency and a commitment to keeping employees informed about upcoming changes. A fair approach, such as offering generous voluntary redundancy packages, would help alleviate tension and reduce potential conflict during the transition.

In addition to financial compensation, retraining opportunities and redeployment within other departments would reflect Rotomyne's commitment to employee welfare. Actively working with unions to negotiate terms would help to manage staff concerns and avoid escalation, such as protests or strikes. Demonstrating ethical leadership in handling redundancies would preserve trust and mitigate reputational damage among staff and external stakeholders.

Evaluation of the interest, power, and relationship management of shareholders

Interest

Shareholders have high interest in the automation proposal because of its potential to improve profitability and support dividend payments. Automation would save P\$40 million annually by reducing warehouse staff costs by 80%, directly enhancing financial performance. Shareholders rely on strong profitability, as evidenced by Rotomyne paying out 89% of its profits (P\$1,684 million) as dividends in September 2024, reflecting their primary goal of maximising returns on their investment.

Shareholders are also interested in the proposal's impact on capital growth, particularly given Rotomyne's declining share price. Increased profitability signals financial health, which could attract new investors and drive-up share value. If the company fails to deliver strong financial performance, shareholders may sell their holdings, creating downward pressure on the share price and weakening Rotomyne's market position further.

Power

Large institutional shareholders, such as pension and investment funds, have high power because of their significant ownership stakes and influence over the Board. These stakeholders often engage directly with executive management to provide strategic input and influence major decisions. Institutional investors also hold resource power, as they could provide future financing through mechanisms like rights issues, making their support critical.

Individual retail shareholders have lower power individually, but this could increase collectively if mobilised, for example, through social media campaigns. While less common, coordinated retail shareholder actions, as seen with Gamestop in 2021, demonstrate the potential for collective influence. Retail shareholders acting in unison could apply pressure on the Board, particularly if concerns about ethical practices or reputational risks are amplified.

Relationship management

To maintain strong relationships with shareholders, Rotomyne should prioritise transparent and consistent communication. This could include regular updates on the financial benefits of automation through shareholder briefings or annual general meetings (AGMs). Addressing reputational risks, such as those associated with large-scale redundancies, will be essential to maintaining shareholder confidence and alignment with corporate strategy.

Shareholders should also be engaged in discussions about the long-term benefits of the automation proposal. This could involve presenting detailed financial projections and highlighting how the initiative aligns with Rotomyne's innovation and operational efficiency goals. By framing the proposal as a step toward enhancing shareholder value and sustaining profitability, Rotomyne can ensure continued support from this key stakeholder group.

Evaluation of the interest, power, and relationship management of board of directors

Interest

The Board has high interest in the warehouse automation proposal, as it aligns with Rotomyne's strategic goals of improving profitability and driving innovation. The automation initiative supports cost reduction, enhancing shareholder value through higher dividends and potential share price growth. Directors also have personal incentives, such as bonuses tied

to financial performance, which may make them particularly invested in the proposal's success.

However, Board members must also consider the ethical implications of large-scale redundancies. These job losses could conflict with Rotomyne's commitment to social responsibility and innovation, particularly if they are poorly managed. The Board's interest lies in balancing financial gains with reputational risks, ensuring that the automation proposal supports both short-term objectives and long-term sustainability.

Power

The Board holds high power as the ultimate decision-makers for the proposal. This power is derived from their positional authority to approve or reject major initiatives, as well as their responsibility for strategic direction. Individual Board members also hold expert power based on their professional knowledge. For example, the Production Director (Andrey) may provide insights into operational feasibility, while the HR Director (Cecilia) may advise on managing employee redundancies ethically.

Collectively, the Board's influence extends to setting the tone for corporate governance and ensuring alignment with shareholder expectations. Their decisions carry significant weight in determining whether the proposal aligns with Rotomyne's strategic objectives, making their support essential for the project's success.

Relationship management

To secure the Board's support, Rotomyne must provide a well-prepared proposal that clearly outlines the financial, operational, and strategic benefits of automation. This should include detailed plans for managing potential risks, such as employee resistance or operational disruptions during implementation. A phased rollout could help mitigate these risks and demonstrate a proactive approach to project management.

Additionally, the Board should be regularly updated on progress and provided with opportunities to raise concerns or provide input. Addressing ethical considerations, such as staff redundancies, with mitigation plans like retraining programs and community outreach initiatives will ensure the Board feels confident in the proposal's alignment with Rotomyne's values and long-term goals.

Sub task 1 (b):

Ethical aspects of the warehouse automation proposal – warehouse staff

Ethical principles impact

Rotomyne owes a duty of care to its warehouse staff to treat them fairly during the transition to automation. Replacing employees with robots for cost-saving purposes may seem harsh, particularly since staff have done nothing wrong to justify redundancy. Failing to support affected staff could damage trust and create long-term resentment. While Rotomyne is not legally obligated to provide lifelong employment, its handling of redundancies will reflect its ethical values and commitment to employee welfare.

Ethical consequences

The consequences of automation for warehouse staff include significant financial hardship, especially in regions where Rotomyne's warehouses are major employers. Staff in poorer countries may struggle to meet basic needs, exacerbating inequality. Those retained may also face demotivation due to the reduced scope of their roles, impacting productivity during the transition period. Poorly managed redundancies could further damage morale across the company, affecting non-warehouse staff as well.

Ethical aspects of the warehouse automation proposal – shareholders

Ethical principles impact

Rotomyne has an ethical obligation to its shareholders to maximise wealth by ensuring profitability and sound financial decisions. Automation aligns with this duty by reducing costs and improving efficiency, directly supporting dividend payments and share price growth. For instance, Rotomyne's September 2024 dividend payout of 89% of profits highlights shareholders' reliance on strong financial performance. Ignoring these benefits to protect jobs could undermine shareholder confidence and reduce Rotomyne's market competitiveness.

Ethical consequences

However, prioritising shareholder returns over employee welfare risks breaching the principle of objectivity. Ethical business decisions should balance competing interests without bias. Rejecting automation solely to protect jobs may not align with sound business judgment, potentially jeopardising Rotomyne's ability to achieve long-term sustainability. Ethical leadership requires careful consideration of both shareholder expectations and employee welfare.

Other ethical implications of the warehouse automation proposal

Automation could also affect other stakeholders, such as local communities and ESG-focused investors. In regions where warehouses are major employers, redundancies could harm local economies, leading to negative perceptions of Rotomyne as an uncaring corporation. ESG-conscious investors may scrutinise Rotomyne's actions, expecting ethical handling of redundancies to align with sustainability principles. Failing to manage these reputational risks could impact Rotomyne's brand and future investment opportunities.

Business/legal consequences

Legally, as long as we give the warehouse staff notice of the termination of their employment contracts, then there is no need for further action. Also, we would have to pay the warehouse staff redundancy pay (based on their employment contract terms). If we did not do this, we could be liable to litigation.

The issue could, however affect our reputation and brand if it were to come to the attention of the press, as it would be seen as uncaring and insensitive. As such, the negative publicity may lead to potential loss of customers. It may also lead to the loss of non warehouse staff that are ethically minded.

Recommendations

Rotomyne should proceed with automation to fulfil its ethical duty to shareholders and achieve strategic cost-saving goals. However, it must manage the redundancies ethically to minimise harm to staff and mitigate reputational risks. Key recommendations include:

Engage in transparent communication:

Hold structured meetings with warehouse staff and unions to explain the rationale for automation, address concerns, and outline available support measures.

Offer voluntary redundancies:

Prioritise voluntary redundancies, [providing generous severance packages](#) to demonstrate ethical responsibility. Tailor payments to reflect local living standards, particularly in poorer regions.

Provide retraining and redeployment opportunities:

Establish retraining programs to help affected staff transition to new roles within Rotomyne or external employment. Actively seek redeployment options for retained staff, [ensuring career progression remains possible](#).

Mitigate reputational risks:

Launch community outreach initiatives to offset the impact of job losses, such as [offering scholarships for technical education or investing in local infrastructure](#). Use positive messaging to reinforce Rotomyne's commitment to social responsibility and innovation.

Balance shareholder and staff interests:

Communicate the financial benefits of automation clearly to shareholders while [emphasising the ethical handling of redundancies](#). This balanced approach will ensure shareholder support and maintain trust among broader stakeholders.

Example Answer for Task 2

Sub task 1 (a):

Evaluation of the proposed warehouse automation technology

Suitability

Alignment to corporate values:

The proposed warehouse automation technology aligns with Rotomyne's strategic objectives [of improving profitability and operational efficiency](#). By reducing errors in order picking and speeding up order fulfilment, [the project supports the corporate value of being responsive to customer needs](#). Additionally, [the cutting-edge AI-enabled robots and sophisticated control software represent a significant innovation](#) in warehouse management, aligning with Rotomyne's [value of pursuing innovation](#).

Risks:

However, the adoption of untested technology introduces risks. Super-Tech's solution has not been applied in lithium mining, [raising concerns about its ability to handle the specific requirements of lithium products](#). The project also involves a significant [upfront investment, which could prove costly if the expected benefits](#), such as improved profitability, are not realised. [A phased implementation, starting with a smaller warehouse](#), would help mitigate these risks and allow adjustments based on real-world testing.

Acceptability

Shareholders:

The P\$100m investment in warehouse automation is substantial but justified by the project's NPV of P\$20m, indicating financial viability. Shareholders are key players in Mendelow's matrix, with high interest and power, and would likely support the project due to its potential to enhance profitability and shareholder wealth. However, financial figures are estimates and require further review to ensure accuracy and reliability.

Other stakeholders:

The Board, another key stakeholder group, would support the project because it aligns with its objective of maximising shareholder value. Conversely, warehouse staff are likely to resist the project, as it would lead to significant redundancies. Staff unions, if involved, could increase resistance through strikes or media campaigns, potentially harming Rotomyne's reputation. Early engagement with staff, coupled with retraining opportunities and fair redundancy packages, is essential to improving acceptability.

Feasibility

Financial feasibility:

Rotomyne's cash reserves of P\$857m ensure the project is financially feasible without relying on external funding. However, Rotomyne's high gearing ratio (103.9%) limits borrowing flexibility, and funding through equity (e.g., a rights issue) could dilute shareholder value. Managing cash flow effectively will be critical to ensuring the project's success.

Operational feasibility:

Operational feasibility depends on the system's reliability and scalability. As the first lithium miner to adopt Super-Tech's technology, Rotomyne faces untested risks, such as the robots' ability to handle lithium products and integrate with existing IT systems. Comprehensive testing and robust backup systems are necessary to mitigate potential disruptions. Additionally, external support from Super-Tech and process consultants will be required for implementation across Rotomyne's nine globally distributed warehouses.

Recommendation

It is recommended that the warehouse automation technology is introduced to all our warehouses. This is after research confirms the technical viability and scalability of the technology. This research should be done at one of our smaller warehouses. It is also recommended that we investigate the availability of funds for this international project.

Justification

Profitable:

Financially, the current estimates suggest a NPV of P\$20m, which indicates the adoption of the warehouse automation technology would be profitable, assuming the initial estimates are found to hold true. This would be accepted by both our shareholders and the Board who are key players.

Strategic:

Strategically, the initiative would adhere to our corporate value of continual innovation. Also, the technology would increase customer service and quality (e.g. accurate orders and speed of delivery). Additionally, it would make us competitive as the overall cost per customer order is reduced. These factors would mean it is a strong proposition.

Our automation strategy is in line with the innovation occurring in the lithium industry. For example, the Chinese company Youibot is transforming lithium processing with mobile robots. Their autonomous robots address challenges such as heavy material handling, dust contamination, and inefficient material flow.

Operational and technological improvements:

Operationally, the proposed technology would help streamline our inventory and order fulfilment processes. It would also remove our reliance on warehouse pickers as 1 robot would replace 4 warehouse pickers. In addition, it would integrate well with our current IT systems.

However, there would be a significant reduction of warehouse staff due to the automation technology.

This would not be acceptable to our staff and unions. The ethical implications of the redundancies could lead to operational disruption and reputational risk. We would have to emphasise to warehouse staff the need for this automation technology in order to improve profitability and remain competitive.

Additionally, there could be technological risk as this is new technology and may have teething problems. To mitigate this, we would have to set up a research team to investigate the capability of the robots and the scalability of the technology prior to final authorisation to proceed.

Sub task 2 (b)

Considerations when setting our dividend policy

Current dividend policy

Our current dividend policy appears to have been to maintain a level of dividend that is a large proportion of our profits. For example, in the year ended September 2024 it was P\$1,684m i.e. 89% (= dividend, P\$1,684m / profit for year, P\$1,882m). This dividend policy conveys director confidence in the future performance of the company.

The warehouse automation technology would require a total investment of P\$100m. Financing the investment via a possible cut in dividend would alter our dividend policy. However, there are a number of considerations to take into account when setting our dividend policy.

Shareholder wealth maximisation

The main objective of profit-making entities is to maximise shareholder wealth. As we are a commercial organisation, this forms one of our major strategic objectives. When making payment of dividends and setting our dividend policy we should always bear this in mind.

However, the appropriateness of a dividend policy is about balancing shareholder expectations and the cash needs of the entity. Thus, other key considerations when setting our dividend policy should cover: Shareholder interests and desire for dividends i.e. clientèle effect; Share price impacts of dividends paid (via the signalling effect); The need for cash in other parts of the entity.

The clientèle effect

Rotomyne's institutional shareholders, such as pension funds, rely on dividends as a stable income source. A cut in dividends would disrupt their expectations and risk shareholder dissatisfaction, potentially leading to share sell-offs. This would create downward pressure on Rotomyne's share price, which is already in decline. Maintaining the current dividend policy is essential to retain shareholder confidence and uphold Rotomyne's reputation for reliable returns.

However, while institutional shareholders prefer fixed income, they also value long-term sustainability. Clearly communicating the strategic benefits of the warehouse automation project, such as cost savings and profitability improvements, could mitigate their concerns if alternative funding sources are pursued.

Signalling effect

Dividend announcements often signal management's confidence in the company's future performance. Reducing dividends could send a negative signal to shareholders, implying uncertainty about Rotomyne's ability to generate cash flows. This perception could result in further share price declines and loss of investor trust.

Nevertheless, shareholders also consider other indicators of success, such as strategic investments and operational efficiency. Transparent communication about how automation enhances long-term competitiveness could help offset the negative impact of a temporary dividend adjustment, should it become necessary.

Cash needs of the business

Rotomyne's cash balance of P\$857m provides flexibility to fund the P\$100m warehouse automation project without reducing dividends. Using cash would avoid the complexities and risks associated with debt or equity financing. However, relying on cash reserves could limit Rotomyne's ability to pursue other strategic investments or respond to unforeseen challenges, such as fluctuations in lithium demand or regulatory changes.

Borrowing is another viable option, but Rotomyne's high gearing (103.9%) may deter lenders or increase borrowing costs. A rights issue, while feasible, is less practical for a relatively small investment due to its complexity and potential dilution of shareholder value.

Recommendation

Rotomyne should maintain its current dividend policy and finance the warehouse automation project through cash reserves. This approach aligns with shareholder expectations and avoids the negative signaling effect of a dividend cut. However, a detailed cash flow analysis is recommended to ensure sufficient reserves are available for other strategic priorities and obligations.

If cash reserves are insufficient, borrowing should be considered as the next-best option. While high gearing is a concern, short-term borrowing could be managed with careful financial planning and would preserve Rotomyne's reputation for stable dividends. A rights issue is not recommended, given the small scale of the investment and the risk of shareholder dissatisfaction.

Transparent communication with shareholders is critical to managing expectations. Rotomyne should highlight how maintaining dividends and investing in automation aligns with long-term profitability and operational efficiency. This strategy balances short-term shareholder interests with the company's long-term growth objectives.

Example Answer for Task 3

Sub task 1 (a):

Evaluation of implications of appointing an IT Director (strategic, governance, and operational)

Advantages

Mitigating IT risks:

The warehouse automation project involves external connectivity between legacy systems and cloud-based software, increasing exposure to cyber security risks such as hacking or malware. An IT Director would bring the expertise needed to proactively manage these risks by establishing a robust cyber security framework. This role would also support system integration, reducing the likelihood of operational disruptions that could harm customer confidence and order fulfilment.

Support strategic goals:

Warehouse automation aligns with Rotomyne's corporate values of innovation and responsiveness to customer needs. By overseeing this initiative, an IT Director could enhance customer satisfaction through improved order accuracy and speed. Furthermore, their expertise could drive additional innovations, such as leveraging artificial intelligence to streamline other operational processes, keeping Rotomyne competitive in the lithium mining industry.

Strengthen governance:

Rotomyne's Board currently lacks IT expertise, leaving a critical gap in oversight for technology-related risks. Appointing an IT Director would ensure compliance with governance principles requiring a balanced mix of skills and experience. This addition would provide strategic guidance on IT initiatives and demonstrate to stakeholders, including customers and shareholders, that Rotomyne is committed to managing risks responsibly and aligning with corporate governance best practices.

Future proof the business:

Global trends, including the increasing adoption of AI in supply chain management, present opportunities for Rotomyne to expand its technological capabilities. An IT Director could develop a forward-looking IT strategy that positions Rotomyne to adapt to these trends. This role would also help identify emerging risks and opportunities, ensuring the company remains resilient and competitive in a rapidly evolving market.

Disadvantages

Recruitment cost:

Hiring an IT Director would involve significant salary and benefit expenses. While the benefits of this role are clear, Rotomyne must ensure these costs do not detract from other strategic investments. Additionally, the company has successfully implemented IT initiatives, such as mine automation, without a dedicated IT Director, suggesting that existing resources may suffice for managing the current risks.

Governance challenges:

Adding an IT Director would necessitate recruiting another independent NED to maintain Board balance, as required by governance principles. Rotomyne's Board composition already skews toward executive directors, so this adjustment could introduce additional complexities. Ensuring compliance with governance codes while addressing IT risks would require careful planning and restructuring.

Potential misaligned focus:

An IT Director could risk prioritising technology-driven solutions over other strategic areas, such as product development or customer engagement. While IT is critical, it must be balanced with broader strategic initiatives. For instance, innovation in product applications or market collaborations could drive growth without relying solely on technological advancements.

Recommendation

It is recommended that Rotomyne appoint a dedicated IT Director to focus on the warehouse automation initiative and manage the associated IT risks. The IT Director should possess expertise in cyber security, in addition to broader IT management skills, to address risks arising from integrating legacy systems with new automation technology.

Justification

The IT Director would give the required attention around IT risks, data security, compliance and security audits to ensure that we would have the right controls to protect our stakeholders such as customers. This is especially key as the proposed warehouse automation would introduce additional IT risks including cyber security risks.

We do not have the necessary IT skills in-house to deliver the major warehouse automation project. The automation would be complex and risky as it would involve the use of robots, software, integration with our legacy systems, and global rollout. An IT Director would be able to support and guide us to successfully implement the warehouse automation.

Action plan

HR should make the necessary arrangements to appoint an IT Director. After which, plans should be put in place for there to be a review (with the nomination committee) of the balance of skills within the Board, to determine the need for an additional NED.

Production Director to arrange for an internal review of Rotomyne's current IT systems, as well as plan for further research on the technological needs of the warehouse automation and the impacts of robotic automation. This research along with the proposed warehouse automation, should then be picked up by the new IT Director when he/she joins.

Sub task 3 (b)

Cyber security risks Rotomyne might face due to warehouse automation

Hackers

Hacking involves unauthorised access to a system with malicious intent, such as stealing, modifying, or destroying data. Threat actors often exploit system vulnerabilities, including weak access controls or unpatched software, to gain entry. For Rotomyne, external connectivity between legacy systems and cloud software heightens the risk of intrusion. A successful hack could disrupt warehouse operations, expose customer data, and damage stakeholder confidence. Strong access controls, firewalls, and regular security updates are critical to mitigating this risk.

Social engineering

Social engineering attacks exploit human psychology to manipulate individuals into revealing sensitive information or performing actions that compromise security. Techniques include phishing emails targeting employees or spear-phishing attempts aimed at executives like the CFO. For example, a hacker impersonating a warehouse manager could deceive staff into disclosing login credentials. To counteract such risks, Rotomyne must implement staff training programs and simulate phishing scenarios to improve awareness and response capabilities.

Malware attacks

Malware refers to malicious software designed to disrupt, damage, or gain unauthorized access to systems. Common types include ransomware, which encrypts data until a ransom is paid, and trojans, which disguise malware as legitimate software. Malware could impact Rotomyne's warehouse robots, causing operational downtime or data breaches. For example, a ransomware attack could halt inventory processing and fulfilment. Robust endpoint protection, regular backups, and network monitoring are essential to mitigating malware risks.

Application attacks

Application attacks target vulnerabilities in software systems, often to steal data or disrupt operations. Denial of Service (DoS) and Distributed Denial of Service (DDoS) attacks can overwhelm servers, rendering systems unavailable. For Rotomyne, an application attack could disrupt customer order fulfilment or halt warehouse operations. SQL injection attacks, which exploit database vulnerabilities, pose another significant risk. Rotomyne must secure its software applications by implementing regular penetration testing and deploying protective measures such as web application firewalls.

Objectives of a robust cyber security risk management program

Availability

Ensuring data and systems are accessible when needed is critical to Rotomyne's operations. Warehouse robots rely on continuous connectivity to process orders efficiently, and manufacturing data must flow seamlessly across shifts. Downtime caused by cyberattacks, such as DDoS, would disrupt operations and damage customer relationships. Rotomyne must implement redundancy measures and system monitoring to ensure 24/7 availability across its global network.

Confidentiality

Confidentiality protects sensitive information from unauthorised access. Customer data, employee records, and financial information must remain secure to prevent fraud or misuse. For Rotomyne, compliance with Porrland's data privacy regulations is essential to avoid legal penalties and reputational harm. Role-based access controls, encryption protocols, and regular audits should be implemented to maintain confidentiality.

Integrity of data

Data integrity ensures information is accurate, complete, and reliable. Inaccurate inventory data could lead to stockouts or overproduction, while corrupted financial data might result in poor decision-making. Rotomyne must ensure that only authorised personnel can modify data, with robust controls to detect and rectify unauthorised changes. This includes verifying the accuracy of geographically diverse customer information and maintaining secure financial reporting systems.

Integrity of processing

Processing integrity focuses on preventing unauthorised manipulation or destruction of systems. For instance, malicious tampering with warehouse robots could lead to errors in order fulfilment or safety hazards. Rotomyne must deploy system controls to safeguard critical processes, such as mining, logistics, and automation. Ensuring the reliability of processing systems is essential to protect both operational efficiency and employee safety.